

The pipe signals a resumption of the downtrend. In less than 2 months, price drops to a low of 18 before recovering slightly.



Figure 50.2 This pipe top (weekly scale) appears during a retrace in a long-term downtrend, as do some of the best performing pipes.

Focus on Failures

Failures occur when price declines by no more than 5% before resuming its upward trend. Five percent failures do not happen too often in pipe tops, but their occurrence is significant enough to warrant a review of the situation.

Many failures happen when price is trending up. The uptrend ranges from several months to over a year, and the pipes seem to signal a coming trend change. Sometimes they do and price drops, but by no more than 5%. At other times, the drop is more severe, but it may happen in 2 to 5 months in the future. In between the pipe and the drop there are higher prices.

Sprinkled among the uptrend failures are those related to downtrends. A pipe failure in a downtrend usually appears near the end of a long downtrend or shortly after the downtrend ends and price begins recovering.